minister where the committee presented its report and the inconclusive discussion we had on inflation targeting. Raghu and I kept in touch after that. We met in meetings and conferences, and exchanged emails. As honorary adviser to the prime minister, he used to send occasional notes to the prime minister on economic issues and was always kind enough to share them with me. I also invited him to give a talk in the Reserve Bank on his much-acclaimed book, *Fault Lines*, in May 2010.

In April 2012, Raghu, who was still in his academic job in Chicago, came to see me in my office in Mumbai and asked about my plans, in particular, if I was going to seek another extension of my term. Incidentally, he had been on the probable list of candidates to succeed me in September 2011 if I was not given an extension of two more years. Since that was behind us by the time of this meeting, there was now occasional speculation that he would succeed me when my extended term finished in September 2013. In response to his query, I told him in no uncertain terms that I would not seek an extension, nor would I accept one were it to be offered. I encouraged him to make his plans on that basis.

We met again three days later in Delhi where both of us were featured speakers at a Festschrift for Dr Manmohan Singh, organized by Isher Judge Ahluwalia, chairperson of the Indian Council for Research on International Economic Relations (ICRIER) board, to celebrate twenty years of economic reforms. I had a feeling, and I must emphasize this was just my gut feeling, that Raghu was still doubtful about what I told him in Mumbai regarding my plans. To put those doubts, if any, to rest, I told him in a quiet moment, when there were just the two of us, that I didn't intend to continue as governor beyond my term.

In August 2012, Rajan was appointed as the chief economic adviser (CEA) to the government. The speculation was that this was just a parking slot until he moved to the Reserve Bank a year later, and that this experience as CEA would give him the much-needed exposure to the functioning of the government from within. That sounded very plausible but I am not sure if the government gave him any assurance on the governor's job, nor indeed if Raghu asked for one.